

BUT HAVE YOU EVER WONDERED WHO INITIATES THESE PRICE MOVEMENTS?

WHY ARE YOU ENTERING INTO TRADES WHEN THE PRICE HAS ALREADY REACHED MIDWAY?

WHY CAN'T YOU TAKE ENTRY AT THE EARLIER STAGES OF A PATTERN FORMATION WHERE THE ACCUMULATION IS HAPPENING?

To become a trader who can catch a trend at the earliest, you have to understand the hidden secret of catching momentum in stocks. But, before we dive deep into concepts like divergence, we will have to understand what is an RSI oscillator and Bollinger Bands.

RSI is a technical oscillator that ranges from 0 to 100. It is an underlay indicator which means it is placed below the price chart. The RSI indicator helps you understand the price momentum. The traditional theory states that when the RSI is above 70 level, a stock is considered to be overbought and when the RSI is below 30 level, a stock is considered to be oversold.



But, the term "Relative Strength Index" by itself says that it is relative to the price. The fluctuation in the security price depends upon the nature of the security. If the stock belongs to an aggressive sector, there is a high probability that the stock will continue to rise above the 70 level and continue to fall even when the RSI is below the 30 level. This is why, I prefer to use the RSI for divergence.

